



Sampath Bank
WE PRESENT YOUR FUTURE

SAMPATH BANK PLC

**Interim Financial Statements
for the period ended 30th September 2024
(In terms of Rule 7.4 of the Colombo Stock Exchange)**

FINANCIAL COMMENTARY FOR THE NINE MONTHS ENDED 30TH SEPTEMBER 2024

Financial Performance

Sampath Bank reported a profit before tax (PBT) of Rs 29.9 Bn and a profit after tax (PAT) of Rs 17.8 Bn for the nine-months period ended 30th September 2024, notwithstanding an exchange loss of Rs 3.6 Bn on account of the appreciation of the LKR, representing growth rates of 36% and 44% respectively compared to the same period last year. Additionally, the Sampath Group reported PBT and PAT figures of Rs 31.9 Bn and Rs 19.1 Bn respectively, reflecting growth rates of 40% and 50%.

Key financial highlights for the period ended 30th September 2024

- Net Interest Income (NII) increased by 14.1%.
- Net fee and commission income decreased by 11.4%, primarily due to a decline in income from trade-related operations.
- An exchange loss of Rs 3.6 Bn was incurred due to the LKR appreciation against the USD by Rs 27.75.
- The total impairment charge decreased by 62.6%.
- The LKR loan book grew by Rs 38 Bn.
- The LKR deposit portfolio saw robust growth, reaching Rs 140 Bn.
- The Tier 1 and Total Capital Adequacy Ratios stood at 16.72% and 19.54%, respectively, comfortably exceeding the regulatory minimum requirements.

Fund based income

The Bank reported a total interest income of Rs 139 Bn for the nine-month period, reflecting a 9.6% decline compared to the same period last year, primarily due to a decrease in the AWPLR while interest expense for the period amounted to Rs 78 Bn, a decline of 22.2% due to decreasing market interest rates. The reduction in interest expense, which exceeded the decline in interest income, resulted in a 14.1% increase in Net Interest Income (NII), reaching Rs 61 Bn for the period under review.

In contrast, the Net Interest Margin (NIM) decreased by 15 basis points, from 5.16% as of 31st December 2023, to 5.01% as of the reporting date. This decline was primarily driven by lower yields on the Bank's interest-earning asset portfolio, resulting from decreasing market interest rates.

Non-Fund based income

The Bank's Net fee and commission income amounted to Rs 13.0 Bn, reflecting a 11% decline compared to the previous period, due to reduced income from trade-related activities primarily driven by lower commission rates on import transactions and the impact of LKR appreciation during the period. However, fees generated from other channels, including credit, electronic transactions, cards and operations-related activities recorded growth compared to the same period last year.

The Bank reported a Net Other Operating Loss of Rs 2.1 Bn during the reporting period, (3Q 2023: loss of Rs 2.3 Bn), primarily due to an exchange loss of Rs 3.4 Bn resulting from the appreciation of the LKR against the USD by 8.6%. Additionally, the Bank recorded a net trading loss of Rs 0.2 Bn, compared to a gain of Rs 1.7 Bn in the previous period, due to revaluation losses on forward exchange contract. Consequently, the Bank's total exchange loss from foreign exchange operations for the period ended 30th September 2024 amounted to Rs 3.6 Bn, compared to the Rs 1.4 Bn loss reported in the corresponding period of 2023.

Impairment Charge

The Bank recorded a total impairment charge of Rs 5.4 Bn for the period under review, a significant decrease of 63% compared to the corresponding period last year. Of this, Rs 3.1 Bn was attributed to loans and advances (3Q 2023: Rs 12.5 Bn), while Rs 1.2 Bn was related to other financial instruments (3Q 2023: Rs 1.8 Bn). Additionally, an impairment charge of Rs 1.1 Bn was recorded against credit-

related commitments and contingencies (3Q 2023: Rs 0.2 Bn).

Impairment charge on loans and advances

During the reporting period, the Bank reported a significant 75% reduction in the impairment charge on loans and advances. This improvement is largely attributed to prudent provisioning measures implemented during the previous years, coupled with a resurgence in the economic activity that has enhanced customers' repayment capabilities.

As of 30th September 2024, the Bank conducted a careful evaluation of its individually significant customers (ISL) and made adequate provisions in its Financial Statements to address the unique risk profiles associated with each customer. With improved customer repayment capacity driven by lower interest rates and favorable macroeconomic conditions, the Bank does not anticipate the need to maintain an overlay allowance for most of the previously stressed economic segments.

Impairment charge on other financial instruments

The Bank recorded a net impairment charge of Rs 1.2 Bn against other financial instruments during the period, primarily due to an additional charge recognised for Sri Lanka International Sovereign Bonds (SLISB) in 1Q 2024. Following the government's announcement on updated terms for the restructured SLISBs, we are confident that no further charges are necessary, as the Bank has adequately provided for all anticipated losses and contingencies.

Operating Expenses

During the reporting period, the Bank's operating expenses rose by 15.5% compared to the same period in 2023, with personnel costs increasing by 20.5%, primarily due to annual salary increments. The Bank's cost-to-income ratio (CIR) rose by 290 basis points, reaching 38.9% from 36.0% in the corresponding period of 2023. This increase in CIR was mainly driven by the rise in total operating expenses outpacing growth in total operating income.

Taxation

The total tax charge increased to Rs 20.9 Bn in the current period, up from Rs 16.4 Bn in the corresponding period last year. However, the Bank's effective tax rate decreased to 54.0% during the reporting period, compared to 57.1% in 3Q 2023.

Key Ratios

The Return on Average Shareholders' Equity (after tax) increased to 15.7% as of 30th September 2024 up from 12.7% reported at the end of 2023. The return on Average Assets (before tax) stood at 2.5% as of 30th September 2024, compared to 2.1% at the end of 2023.

Capital and Liquidity

During the reporting period, Sampath Bank maintained all capital and liquidity ratios comfortably above minimum regulatory requirements. As of 30th September 2024, the Bank's CET 1, Tier 1, and Total capital ratios stood at 16.72%, 16.72%, and 19.54%, respectively, compared to 16.35%, 16.35%, and 19.56% at the end of 2023.

Similarly, the Bank's liquidity levels remained robust and well above the minimum regulatory requirements, with the all-currency Liquidity Coverage Ratio at 303.25% and Net Stable Funding Ratio at 198.60% as of 30th September 2024, compared to 312.47% and 184.2% at the end of 2023.

Assets

As of 30th September 2024, the Bank's total asset base expanded by 9.2%, reflecting an annualized growth rate of 12.3%, reaching Rs 1.68 Tn. The growth was driven by increased investments in government debt securities and the expansion of the loan portfolio. Total gross loans grew by Rs 41 Bn, from Rs 877 Bn as of 31st December 2023, to Rs 918 Bn by the end of September 2024 mainly due to a Rs 38 Bn increase in LKR-denominated loans, while the growth in foreign currency

loans was limited to Rs 3 Bn, impacted by the appreciation of the LKR against the USD during the period. Additionally, balances with foreign banks and placements as of year-end 2023 were redirected to foreign investments classified under amortized cost and FVOCI during the year.

Liabilities

The Bank's total liabilities increased by 9.6%, reflecting an annualized growth rate of 12.8%. This growth was primarily driven by an expansion in the Bank's total deposit portfolio, which rose by Rs 129 Bn, from Rs 1,264.5 Bn at the end of 2023 to Rs 1,393.8 Bn as of 30th September 2024. LKR deposits grew by Rs 140 Bn, while foreign currency (FCY) deposits declined by Rs 11 Bn during the period due to the appreciation of the LKR against the USD. The CASA ratio of the Bank stood at 33.9% as of 30th September 2024, compared to 33.4% reported at the end of 2023.

Commitment to Stakeholder Well-being

As a responsible corporate citizen in Sri Lanka, Sampath Bank has consistently played a crucial role in supporting the nation's economy amidst significant challenges in recent years. Through its Business Revival Unit, the Bank has remained dedicated to assisting stressed borrowers by offering a range of tailored measures designed to revitalize their businesses. These initiatives are customized to reflect each borrower's unique circumstances and the specific industries in which they operate. This commitment has not only helped many borrowers restore their businesses but has also enabled them to enhance their credit profiles, fostering greater financial stability and growth.

In today's Age of Responsibility, sustainability is at the core of the Bank's CSR initiatives. As a national institution, the Bank actively addresses economic, social and environmental challenges through partnerships with communities. Key initiatives include 'Wewata Jeewayak' for irrigation restoration, 'A Breath to the Ocean' for ocean ecosystem preservation, 'Sampath Saviya' to support MSME development, 'Hope for Life' for healthcare assistance, and the tree-planting campaign 'Gasai Mamai Pubudu Pothai.' These programs are designed to enhance livelihoods, conserve the environment, and build resilient communities, exemplifying the Bank's enduring commitment to a sustainable future for all Sri Lankans.

Sampath Bank was honored as 'Asia's Best Bank for Corporate Responsibility' at the prestigious Euromoney Awards for Excellence 2024. This accolade recognises the Bank's exceptional contributions to corporate responsibility and sustainability, underscoring its commitment to impactful initiatives across these critical areas.

STATEMENT OF PROFIT OR LOSS

	Bank						Group					
	For the nine months ended 30th September			For the quarter ended 30th September			For the nine months ended 30th September			For the quarter ended 30th September		
	2024	2023	Change	2024	2023	Change	2024	2023	Change	2024	2023	Change
	Rs 000	Rs 000	%	Rs 000	Rs 000	%	Rs 000	Rs 000	%	Rs 000	Rs 000	%
Gross income	153,526,837	170,498,299	(10.0)	49,063,297	61,286,695	(19.9)	161,786,625	178,088,935	(9.2)	51,981,495	64,214,848	(19.1)
Interest income	138,595,397	153,354,766	(9.6)	43,598,208	52,569,142	(17.1)	145,504,059	159,988,727	(9.1)	45,977,879	54,970,727	(16.4)
Less: Interest expense	78,006,901	100,270,177	(22.2)	24,153,257	33,682,587	(28.3)	81,327,467	104,750,459	(22.4)	25,206,531	35,159,367	(28.3)
Net interest income	60,588,496	53,084,589	14.1	19,444,951	18,886,555	3.0	64,176,592	55,238,268	16.2	20,771,348	19,811,360	4.8
Fee & commission income	16,354,323	17,321,685	(5.6)	5,361,267	5,806,451	(7.7)	16,770,489	17,844,108	(6.0)	5,482,644	6,017,386	(8.9)
Less: Fee & commission expense	3,396,037	2,703,384	25.6	1,106,190	950,974	16.3	3,397,692	2,705,249	25.6	1,106,524	952,608	16.2
Net fee & commission income	12,958,286	14,618,301	(11.4)	4,255,077	4,855,477	(12.4)	13,372,797	15,138,859	(11.7)	4,376,120	5,064,778	(13.6)
Net (loss)/gain from trading	(224,585)	1,689,234	(113.3)	2,134,533	(15,175)	14,166.1	(202,367)	1,649,095	(112.3)	2,132,115	(20,725)	10,387.6
Net gain on derecognition of financial assets												
- at fair value through profit or loss	150,950	280,876	(46.3)	47,784	49,482	(3.4)	153,142	288,588	(46.9)	49,193	53,910	(8.7)
- at fair value through other comprehensive income	753,837	158,697	375.0	175,910	87,448	101.2	753,837	158,697	375.0	175,910	87,448	101.2
Net other operating income	(2,103,085)	(2,306,959)	8.8	(2,254,405)	2,789,347	(180.8)	(1,192,535)	(1,840,280)	35.2	(1,836,246)	3,106,102	(159.1)
Total operating income	72,123,899	67,524,738	6.8	23,803,850	26,653,134	(10.7)	77,061,466	70,633,227	9.1	25,668,440	28,102,873	(8.7)
Less: Impairment charge	5,394,942	14,440,202	(62.6)	(778,806)	7,212,221	(110.8)	5,322,332	14,498,508	(63.3)	(828,072)	7,298,125	(111.3)
Net operating income	66,728,957	53,084,536	25.7	24,582,656	19,440,913	26.4	71,739,134	56,134,719	27.8	26,496,512	20,804,748	27.4
Less: Operating expenses												
Personnel expenses	13,112,388	10,877,596	20.5	4,557,055	3,892,390	17.1	14,801,217	12,018,075	23.2	5,214,388	4,287,163	21.6
Depreciation and amortisation expenses	2,321,244	1,966,767	18.0	809,068	729,516	10.9	2,180,177	1,884,661	15.7	777,866	632,938	22.9
Other expenses	12,654,634	11,484,615	10.2	4,616,894	3,432,387	34.5	13,507,487	12,338,472	9.5	4,839,087	3,752,584	29.0
Total operating expenses	28,088,266	24,328,978	15.5	9,983,017	8,054,293	23.9	30,488,881	26,241,208	16.2	10,831,341	8,672,685	24.9
Operating profit before taxes on financial services	38,640,691	28,755,558	34.4	14,599,639	11,386,620	28.2	41,250,253	29,893,511	38.0	15,665,171	12,132,063	29.1
Less: Taxes on financial services												
Value added tax	7,695,246	5,912,149	30.2	2,836,752	2,270,636	24.9	8,191,552	6,189,943	32.3	3,037,727	2,387,037	27.3
Social security contribution levy	1,068,784	821,132	30.2	393,993	315,366	24.9	1,137,715	859,714	32.3	421,906	331,532	27.3
Total taxes on financial services	8,764,030	6,733,281	30.2	3,230,745	2,586,002	24.9	9,329,267	7,049,657	32.3	3,459,633	2,718,569	27.3
Profit before income tax	29,876,661	22,022,277	35.7	11,368,894	8,800,618	29.2	31,920,986	22,843,854	39.7	12,205,538	9,413,494	29.7
Less: Income tax expense	12,090,550	9,672,583	25.0	4,695,317	4,113,475	14.1	12,830,726	10,113,717	26.9	4,982,685	4,321,308	15.3
Profit for the period	17,786,111	12,349,694	44.0	6,673,577	4,687,143	42.4	19,090,260	12,730,137	50.0	7,222,853	5,092,186	41.8
Attributable to:												
Equity holders of the Bank	17,786,111	12,349,694	44.0	6,673,577	4,687,143	42.4	19,090,260	12,730,137	50.0	7,222,853	5,092,186	41.8
Non-controlling interest	-	-	-	-	-	-	-	-	-	-	-	-
	17,786,111	12,349,694	44.0	6,673,577	4,687,143	42.4	19,090,260	12,730,137	50.0	7,222,853	5,092,186	41.8
Earnings per share - Basic/Diluted (Rs)	15.17	10.53	44.0	5.69	4.00	42.4	16.28	10.86	50.0	6.16	4.34	41.8

STATEMENT OF COMPREHENSIVE INCOME

	Bank						Group					
	For the nine months ended 30th September			For the quarter ended 30th September			For the nine months ended 30th September			For the quarter ended 30th September		
	2024	2023	Change	2024	2023	Change	2024	2023	Change	2024	2023	Change
	Rs 000	Rs 000	%	Rs 000	Rs 000	%	Rs 000	Rs 000	%	Rs 000	Rs 000	%
Profit for the period	17,786,111	12,349,694	44.0	6,673,577	4,687,143	42.4	19,090,260	12,730,137	50.0	7,222,853	5,092,186	41.8
Other comprehensive income												
Items that will be reclassified to profit or loss:												
Debt instruments at fair value through other comprehensive income:												
(Loss)/gain arising on re-measurement	(500,776)	12,699,668	(103.9)	(3,647,582)	9,045,400	(140.3)	(500,776)	12,699,668	(103.9)	(3,647,582)	9,045,400	(140.3)
Reclassification to profit or loss due to derecognition	(753,837)	(158,697)	(375.0)	(175,910)	(87,448)	(101.2)	(753,837)	(158,697)	(375.0)	(175,910)	(87,448)	(101.2)
Changes in impairment recycled to profit or loss	(39,404)	260,432	(115.1)	(6,983)	97,752	(107.1)	(39,404)	260,432	(115.1)	(6,983)	97,752	(107.1)
Deferred tax effect on the above	388,205	(3,840,421)	110.1	1,149,142	(2,716,712)	142.3	388,205	(3,840,421)	110.1	1,149,142	(2,716,712)	142.3
Net other comprehensive income to be reclassified to profit or loss	(905,812)	8,960,982	(110.1)	(2,681,333)	6,338,992	(142.3)	(905,812)	8,960,982	(110.1)	(2,681,333)	6,338,992	(142.3)
Items that will not be reclassified to profit or loss:												
Equity instruments at fair value through other comprehensive income:												
(Loss)/gain arising on re-measurement	(1,382,427)	-	(100.0)	306,175	-	100.0	(1,382,427)	-	(100.0)	306,175	-	100.0
Exchange (loss)/gain in translation	(291,638)	(766,193)	61.9	(74,347)	116,771	(163.7)	(291,638)	(766,193)	61.9	(74,347)	116,771	(163.7)
Deferred tax effect on the above	502,219	229,858	118.5	(69,549)	(35,031)	(98.5)	502,219	229,858	118.5	(69,549)	(35,031)	(98.5)
Net other comprehensive income not to be reclassified to profit or loss	(1,171,846)	(536,335)	(118.5)	162,279	81,740	98.5	(1,171,846)	(536,335)	(118.5)	162,279	81,740	98.5
Other comprehensive income net of tax	(2,077,658)	8,424,647	(124.7)	(2,519,054)	6,420,732	(139.2)	(2,077,658)	8,424,647	(124.7)	(2,519,054)	6,420,732	(139.2)
Total comprehensive income for the period net of tax	15,708,453	20,774,341	(24.4)	4,154,523	11,107,875	(62.6)	17,012,602	21,154,784	(19.6)	4,703,799	11,512,918	(59.1)
Attributable to:												
Equity holders of the Bank	15,708,453	20,774,341	(24.4)	4,154,523	11,107,875	(62.6)	17,012,602	21,154,784	(19.6)	4,703,799	11,512,918	(59.1)
Non-controlling interest	-	-	-	-	-	-	-	-	-	-	-	-
	15,708,453	20,774,341	(24.4)	4,154,523	11,107,875	(62.6)	17,012,602	21,154,784	(19.6)	4,703,799	11,512,918	(59.1)

STATEMENT OF FINANCIAL POSITION

As at	30th September 2024	Bank 31st December 2023 (Audited)	Change	30th September 2024	Group 31st December 2023 (Audited)	Change
	Rs 000	Rs 000	%	Rs 000	Rs 000	%
ASSETS						
Cash & cash equivalents	36,821,098	79,272,087	(53.6)	37,092,365	79,530,247	(53.4)
Balances with Central Bank of Sri Lanka	21,708,879	14,463,854	50.1	21,708,879	14,463,854	50.1
Placements with banks	22,237,485	33,741,322	(34.1)	22,237,485	33,741,322	(34.1)
Reverse repurchase agreements	-	-	-	3,272,007	150,400	2,075.5
Derivative financial instruments	817,112	587,577	39.1	817,112	587,577	39.1
Financial assets recognised through profit or loss - measured at fair value	3,895,171	4,744,188	(17.9)	3,971,275	4,841,302	(18.0)
Financial assets at amortised cost						
- loans & advances	811,391,844	756,435,559	7.3	850,508,797	787,355,719	8.0
- debt & other instruments	377,540,766	368,100,002	2.6	381,493,606	373,899,842	2.0
Financial assets - fair value through other comprehensive income	349,596,168	216,022,295	61.8	349,596,224	216,022,351	61.8
Investment in subsidiaries	4,190,721	4,110,642	1.9	-	-	-
Property, plant & equipment	10,391,466	9,623,120	8.0	21,181,217	19,960,610	6.1
Intangible assets	767,857	745,395	3.0	781,978	766,532	2.0
Right-of-use assets	4,419,597	3,605,525	22.6	3,817,399	3,152,666	21.1
Deferred tax assets	16,225,487	17,292,023	(6.2)	16,485,020	17,517,519	(5.9)
Other assets	24,430,862	33,204,832	(26.4)	26,289,494	35,386,047	(25.7)
Total Assets	1,684,434,513	1,541,948,421	9.2	1,739,252,858	1,587,375,988	9.6
LIABILITIES						
Due to banks	20,975,305	11,621,838	80.5	27,942,569	17,344,766	61.1
Derivative financial instruments	1,915,247	1,498,777	27.8	1,915,247	1,498,777	27.8
Securities sold under repurchase agreements	42,589,531	34,688,209	22.8	42,589,531	34,438,086	23.7
Financial liabilities at amortised cost						
- due to depositors	1,380,493,427	1,253,642,547	10.1	1,407,230,252	1,276,551,041	10.2
- due to other borrowers	6,735,856	6,637,129	1.5	6,735,856	6,637,129	1.5
- due to debt securities holders	18,052,138	26,709,893	(32.4)	23,733,439	30,386,809	(21.9)
Retirement benefit obligation	3,751,045	3,170,247	18.3	3,958,783	3,355,039	18.0
Dividend payable	300,135	212,571	41.2	300,135	212,571	41.2
Current tax liabilities	14,761,736	16,220,788	(9.0)	15,397,801	16,688,675	(7.7)
Deferred tax liabilities	-	-	-	1,465,112	1,465,112	-
Other liabilities	38,139,593	39,673,346	(3.9)	40,002,068	40,967,491	(2.4)
Total Liabilities	1,527,714,013	1,394,075,345	9.6	1,571,270,793	1,429,545,496	9.9

STATEMENT OF FINANCIAL POSITION

As at	30th September 2024	Bank 31st December 2023 (Audited)	Change	30th September 2024	Group 31st December 2023 (Audited)	Change
	Rs 000	Rs 000	%	Rs 000	Rs 000	%
EQUITY						
Stated capital	48,741,119	48,741,119	-	48,741,119	48,741,119	-
Reserves						
Statutory reserve fund	6,615,000	6,615,000	-	6,929,000	6,929,000	-
Other reserves	79,872,321	81,950,709	(2.5)	83,370,259	85,448,647	(2.4)
Retained earnings	21,492,060	10,566,248	103.4	28,941,687	16,711,726	73.2
Total equity attributable to equity holders of the Bank	156,720,500	147,873,076	6.0	167,982,065	157,830,492	6.4
Non-controlling interest				-	-	-
Total Equity	156,720,500	147,873,076	6.0	167,982,065	157,830,492	6.4
Total Liabilities & Equity	1,684,434,513	1,541,948,421	9.2	1,739,252,858	1,587,375,988	9.6
Commitments & contingencies	479,803,015	481,333,065	(0.3)	476,671,406	479,795,279	(0.7)
Net asset value per share (Rs)	133.64	126.10	6.0	143.24	134.59	6.4

Memorandum information

Number of employees	4,352	4,179
Number of branches	229	229

CERTIFICATION:

I certify that the above Financial Statements are in compliance with the requirements of the Companies Act No. 7 of 2007.

(Sgd)

Ajantha de Vas Gunasekara

Executive Director/Chief Financial Officer

We, the undersigned, being the Chairman and the Managing Director of Sampath Bank PLC, certify jointly that:

- (a) the above statements have been prepared in compliance with the format and definitions prescribed by the Central Bank of Sri Lanka; and
- (b) the information contained in these statements have been extracted from the unaudited Financial Statements of the Bank and its subsidiary companies unless indicated as audited.

(Sgd)

Harsha Amarasekera

Chairman

13th November 2024

(Sgd)

Ayodhya Iddawela Perera

Managing Director

STATEMENT OF CHANGES IN EQUITY

Bank

For the nine months ended 30th September 2023	Stated Capital	Statutory Reserve Fund	Other Reserves			Retained Earnings	Total Equity
			Revaluation Reserve	FVOCI Reserve	General Reserve		
			Rs 000	Rs 000	Rs 000		
Balance as at 1st January 2023	47,622,493	5,755,000	3,594,984	2,248,650	58,989,347	8,169,471	126,379,945
Total comprehensive income for the period							
Profit for the period	-	-	-	-	-	12,349,694	12,349,694
Other comprehensive income	-	-	-	8,424,647	-	-	8,424,647
Total comprehensive income for the period	-	-	-	8,424,647	-	12,349,694	20,774,341
Transactions with equity holders, recognised directly in equity, contributions by and distributions to equity holders							
Final dividend for 2022: scrip	1,118,626	-	-	-	-	(1,316,031)	(197,405)
Final dividend for 2022: cash	-	-	-	-	-	(3,948,089)	(3,948,089)
Unclaimed dividend adjustments	-	-	-	-	13,553	-	13,553
Total contributions by and distributions to equity holders	1,118,626	-	-	-	13,553	(5,264,120)	(4,131,941)
Balance as at 30th September 2023	48,741,119	5,755,000	3,594,984	10,673,297	59,002,900	15,255,045	143,022,345

For the nine months ended 30th September 2024	Stated Capital	Statutory Reserve Fund	Other Reserves			Retained Earnings	Total Equity
			Revaluation Reserve	FVOCI Reserve	General Reserve		
			Rs 000	Rs 000	Rs 000		
Balance as at 1st January 2024	48,741,119	6,615,000	3,594,984	11,344,032	67,011,693	10,566,248	147,873,076
Total comprehensive income for the period							
Profit for the period	-	-	-	-	-	17,786,111	17,786,111
Other comprehensive income	-	-	-	(2,077,658)	-	-	(2,077,658)
Total comprehensive income for the period	-	-	-	(2,077,658)	-	17,786,111	15,708,453
Transactions with equity holders, recognised directly in equity, contributions by and distributions to equity holders							
Final dividend for 2023: cash	-	-	-	-	-	(6,860,299)	(6,860,299)
Unclaimed dividend adjustments	-	-	-	-	(730)	-	(730)
Total contributions by and distributions to equity holders	-	-	-	-	(730)	(6,860,299)	(6,861,029)
Balance as at 30th September 2024	48,741,119	6,615,000	3,594,984	9,266,374	67,010,963	21,492,060	156,720,500

STATEMENT OF CHANGES IN EQUITY

Group

For the nine months ended 30th September 2023	Stated Capital	Statutory Reserve Fund	Other Reserves			Retained Earnings	Total Equity Attributable to Equity Holders of the Bank	Non Controlling Interest	Total Equity
			Revaluation Reserve	FVOCI Reserve	General Reserve				
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Balance as at 1st January 2023	47,622,493	6,033,000	7,092,922	2,248,650	58,989,347	13,564,655	135,551,067	-	135,551,067
Total comprehensive income for the period									
Profit for the period	-	-	-	-	-	12,730,137	12,730,137	-	12,730,137
Other comprehensive income	-	-	-	8,424,647	-	-	8,424,647	-	8,424,647
Total comprehensive income for the period	-	-	-	8,424,647	-	12,730,137	21,154,784	-	21,154,784
Transactions with equity holders, recognised directly in equity, contributions by and distributions to equity holders									
Final dividend for 2022: scrip	1,118,626	-	-	-	-	(1,316,031)	(197,405)	-	(197,405)
Final dividend for 2022: cash	-	-	-	-	-	(3,948,089)	(3,948,089)	-	(3,948,089)
Unclaimed dividend adjustments	-	-	-	-	13,553	-	13,553	-	13,553
Total contributions by and distributions to equity holders	1,118,626	-	-	-	13,553	(5,264,120)	(4,131,941)	-	(4,131,941)
Balance as at 30th September 2023	48,741,119	6,033,000	7,092,922	10,673,297	59,002,900	21,030,672	152,573,910	-	152,573,910

For the nine months ended 30th September 2024	Stated Capital	Statutory Reserve Fund	Other Reserves			Retained Earnings	Total Equity Attributable to Equity Holders of the Bank	Non Controlling Interest	Total Equity
			Revaluation Reserve	FVOCI Reserve	General Reserve				
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Balance as at 1st January 2024	48,741,119	6,929,000	7,092,922	11,344,032	67,011,693	16,711,726	157,830,492	-	157,830,492
Total comprehensive income for the period									
Profit for the period	-	-	-	-	-	19,090,260	19,090,260	-	19,090,260
Other comprehensive income	-	-	-	(2,077,658)	-	-	(2,077,658)	-	(2,077,658)
Total comprehensive income for the period	-	-	-	(2,077,658)	-	19,090,260	17,012,602	-	17,012,602
Transactions with equity holders, recognised directly in equity, contributions by and distributions to equity holders									
Final dividend for 2023: cash	-	-	-	-	-	(6,860,299)	(6,860,299)	-	(6,860,299)
Unclaimed dividend adjustments	-	-	-	-	(730)	-	(730)	-	(730)
Total contributions by and distributions to equity holders	-	-	-	-	(730)	(6,860,299)	(6,861,029)	-	(6,861,029)
Balance as at 30th September 2024	48,741,119	6,929,000	7,092,922	9,266,374	67,010,963	28,941,687	167,982,065	-	167,982,065

STATEMENT OF CASH FLOWS

For the nine months ended 30th September	Bank		Group	
	2024	2023	2024	2023
	Rs 000	Rs 000	Rs 000	Rs 000
Cash flows from operating activities				
Interest receipts	136,237,671	144,994,532	143,145,738	152,264,035
Interest payments	(85,981,536)	(96,249,387)	(89,529,031)	(100,417,769)
Net commission receipts	12,953,471	14,652,056	13,367,982	15,172,614
Cash payments to employees	(11,978,278)	(9,829,877)	(13,629,155)	(10,940,774)
Taxes on financial services	(7,164,101)	(7,011,999)	(7,716,173)	(7,309,007)
Receipts from other operating activities	1,644,559	827,709	2,596,942	1,505,503
Cash payments to other operating activities	(13,346,989)	(11,290,990)	(14,046,503)	(12,308,757)
Operating profit before changes in operating assets & liabilities	32,364,797	36,092,044	34,189,800	37,965,845
(Increase)/decrease in operating assets				
Balances with Central Bank of Sri Lanka	(7,245,025)	16,040,512	(7,245,025)	16,040,512
Financial assets at amortised cost - loans & advances	(73,427,376)	41,723,456	(81,604,324)	39,912,073
Other assets	9,180,836	(7,060,416)	9,725,931	(7,206,656)
	(71,491,565)	50,703,552	(79,123,418)	48,745,929
Increase/(decrease) in operating liabilities				
Due to banks	10,668,298	2,710,407	12,217,262	4,140,743
Re-purchase agreements	7,776,274	31,447,967	8,026,397	31,447,967
Financial liabilities at amortised cost - due to depositors	153,329,610	123,664,863	157,331,597	127,492,738
Financial liabilities at amortised cost - due to other borrowers	6,580	(2,126,489)	6,580	(2,126,489)
Other liabilities	(5,267,450)	12,367,902	(4,702,423)	13,102,002
	166,513,312	168,064,650	172,879,413	174,056,961
Net cash generated from operating activities before income tax	127,386,544	254,860,246	127,945,795	260,768,735
Income tax paid	(11,592,639)	(13,552,721)	(12,196,802)	(14,042,133)
Net cash generated from operating activities	115,793,905	241,307,525	115,748,993	246,726,602
Cash flows from investing activities				
Purchase of property, plant & equipment	(1,507,550)	(1,118,882)	(2,319,607)	(1,573,855)
Proceeds from disposal of property, plant & equipment	7,347	-	45,971	1,920
Net cash flow from reverse repurchase agreements	-	9,000,243	(3,121,607)	8,994,243
Net cash flow from financial assets - FVPL	962,317	(3,288,932)	1,006,788	(3,251,510)
Net cash flow from debt instruments at amortised cost	(12,069,045)	(62,986,460)	(10,222,045)	(64,893,449)
Net cash flow from financial assets - FVOCI	(137,078,371)	(105,620,382)	(137,078,371)	(105,620,382)
Purchase of intangible assets	(278,631)	(278,051)	(278,631)	(286,445)
Dividend received from financial assets	-	122,525	1,129	124,009
Net cash used in investing activities	(149,963,933)	(164,169,939)	(151,966,373)	(166,505,469)
Cash flows from financing activities				
Proceeds from the issue of debentures	-	10,000,000	4,000,000	10,000,000
Redemption of debentures	(7,000,000)	(7,500,000)	(8,500,000)	(9,500,000)
Net proceeds from securitisation	-	-	(457,998)	(1,459,285)
Repayment of long term bond	-	(600,000)	-	(600,000)
Dividend paid	(6,860,299)	(4,145,494)	(6,860,299)	(4,145,494)
Repayment of principal portion of lease liabilities	(1,033,765)	(1,169,100)	(726,336)	(675,692)
Net cash used in financing activities	(14,894,064)	(3,414,594)	(12,544,633)	(6,380,471)
Net cash (used)/generated during the period	(49,064,092)	73,722,992	(48,762,013)	73,840,662
Net foreign exchange difference	(4,867,781)	(6,929,374)	(4,867,781)	(6,929,374)
Cash & cash equivalents at the beginning of the year	113,001,014	90,071,931	112,814,749	89,862,724
Cash & cash equivalents at the end of the period	59,069,141	156,865,549	59,184,955	156,774,012

NOTES TO THE FINANCIAL STATEMENTS

1 Analysis of Loans and Advances and Impairment

	Bank		Group	
	30th September 2024	31st December 2023 (Audited)	30th September 2024	31st December 2023 (Audited)
As at	Rs 000	Rs 000	Rs 000	Rs 000
1.1 Gross loans & advances	918,487,192	877,317,072	960,571,843	911,925,231
Less: Accumulated impairment under stage 1	10,252,945	12,906,592	10,318,913	12,913,484
Accumulated impairment under stage 2	18,959,985	24,962,148	19,787,279	25,746,701
Accumulated impairment under stage 3	77,882,418	83,012,773	79,956,854	85,909,327
Net loans & advances	811,391,844	756,435,559	850,508,797	787,355,719
1.2 Product-wise loans and advances				
Local currency				
Bills of exchange	63,774	182,672	63,774	182,672
Leasing	27,709,791	21,349,645	59,405,700	50,621,080
Housing loans	49,698,205	49,859,121	49,698,205	49,859,121
Export loans	5,345,005	4,990,737	5,345,005	4,990,737
Import loans	83,090,470	68,914,981	83,090,470	68,914,981
Refinance loans	5,216,926	5,556,161	5,216,926	5,556,161
Term loans	362,898,226	360,477,760	363,023,475	357,626,220
Overdraft	80,612,081	84,268,300	80,448,367	83,769,781
Staff loans	11,616,704	10,313,063	11,780,802	10,428,627
Pawning and gold loans	84,333,120	80,715,233	94,045,604	88,683,130
Credit cards	20,312,116	21,027,761	20,311,990	21,027,720
Money market loans	45,437,098	30,700,866	45,437,098	30,700,866
Factoring	1,564,603	1,831,406	1,696,666	1,985,699
Others	5,112	11,469	423,800	460,539
Sub total	777,903,231	740,199,175	819,987,882	774,807,334
Foreign currency				
Bills of exchange	2,002,904	2,111,535	2,002,904	2,111,535
Housing loans	213,686	329,343	213,686	329,343
Export loans	27,609,362	30,526,159	27,609,362	30,526,159
Import loans	14,548,055	13,584,472	14,548,055	13,584,472
Term loans	88,724,060	81,339,083	88,724,060	81,339,083
Overdraft	7,483,379	9,202,712	7,483,379	9,202,712
Others	2,515	24,593	2,515	24,593
Sub total	140,583,961	137,117,897	140,583,961	137,117,897
Total gross loans and advances	918,487,192	877,317,072	960,571,843	911,925,231

1.3 Movement of Impairment During the Period

Bank	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000
Balance as at 1st January 2024	12,906,592	24,962,148	83,012,773	120,881,513
Net (reversal)/charge for the period	(2,423,886)	(5,389,967)	10,905,556	3,091,703
Write-off during the period	-	-	(12,277,414)	(12,277,414)
Interest income accrued on impaired loans & advances	-	-	(3,995,673)	(3,995,673)
Other movements including exchange differences	(229,761)	(612,196)	237,176	(604,781)
Balance as at 30th September 2024	10,252,945	18,959,985	77,882,418	107,095,348

Group	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000
Balance as at 1st January 2024	12,913,484	25,746,701	85,909,327	124,569,512
Net (reversal)/charge for the period	(2,364,810)	(5,347,226)	10,773,150	3,061,114
Write-off during the period	-	-	(12,966,571)	(12,966,571)
Interest income accrued on impaired loans & advances	-	-	(3,996,268)	(3,996,268)
Other movements including exchange differences	(229,761)	(612,196)	237,216	(604,741)
Balance as at 30th September 2024	10,318,913	19,787,279	79,956,854	110,063,046

NOTES TO THE FINANCIAL STATEMENTS

2 Analysis of Commitments and Contingencies and Impairment

	As at	Bank		Group	
		30th September 2024	31st December 2023	30th September 2024	31st December 2023
		(Audited) Rs 000	(Audited) Rs 000	(Audited) Rs 000	(Audited) Rs 000
2.1	Gross commitments and contingencies	484,089,271	484,568,563	480,929,739	483,014,792
	Less: Accumulated impairment under stage 1	2,441,500	2,507,806	2,413,577	2,491,821
	Accumulated impairment under stage 2	1,220,468	701,999	1,220,468	701,999
	Accumulated impairment under stage 3	624,288	25,693	624,288	25,693
	Net commitments and contingencies	479,803,015	481,333,065	476,671,406	479,795,279
2.2	Product-wise commitments and contingencies				
	Local currency				
	Credit related commitments & contingencies				
	Undrawn - direct credit facilities	124,033,382	116,854,253	120,621,945	115,140,510
	Undrawn - indirect credit facilities	97,331,439	65,688,629	97,331,439	65,688,629
	Acceptances	36,640	26,325	36,640	26,325
	Documentary credit	274,159	1,003,478	274,159	1,003,478
	Guarantees	32,350,060	31,886,127	32,352,560	31,889,127
		254,025,680	215,458,812	250,616,743	213,748,069
	Other commitments & contingencies				
	Capital commitments	1,380,611	632,692	1,630,016	789,664
	Operating lease commitments	108,995	84,450	108,995	84,450
	Forward exchange contracts	10,964,354	5,288,272	10,964,354	5,288,272
	Currency SWAPs	80,147,612	107,447,795	80,147,612	107,447,795
		92,601,572	113,453,209	92,850,977	113,610,181
	Sub total	346,627,252	328,912,021	343,467,720	327,358,250
	Foreign currency				
	Credit related commitments & contingencies				
	Undrawn - direct credit facilities	31,812,197	38,693,848	31,812,197	38,693,848
	Undrawn - indirect credit facilities	8,002,510	3,214,738	8,002,510	3,214,738
	Acceptances	15,827,038	10,642,621	15,827,038	10,642,621
	Documentary credit	27,599,193	27,338,763	27,599,193	27,338,763
	Guarantees	5,610,212	3,605,317	5,610,212	3,605,317
		88,851,150	83,495,287	88,851,150	83,495,287
	Other commitments & contingencies				
	Capital commitments	582,781	300,712	582,781	300,712
	Forward exchange contracts	22,092,919	23,146,684	22,092,919	23,146,684
	Currency SWAPs	25,935,169	48,713,859	25,935,169	48,713,859
		48,610,869	72,161,255	48,610,869	72,161,255
	Sub total	137,462,019	155,656,542	137,462,019	155,656,542
	Total gross commitments and contingencies	484,089,271	484,568,563	480,929,739	483,014,792

2.3 Movement of Impairment During the Period

Bank	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000
Balance as at 1st January 2024	2,507,806	701,999	25,693	3,235,498
Net (reversal)/charge for the period	(26,403)	547,126	599,385	1,120,108
Other movements including exchange differences	(39,903)	(28,657)	(790)	(69,350)
Balance as at 30th September 2024	2,441,500	1,220,468	624,288	4,286,256

Group	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000
Balance as at 1st January 2024	2,491,821	701,999	25,693	3,219,513
Net (reversal)/charge for the period	(38,341)	547,126	599,385	1,108,170
Other movements including exchange differences	(39,903)	(28,657)	(790)	(69,350)
Balance as at 30th September 2024	2,413,577	1,220,468	624,288	4,258,333

NOTES TO THE FINANCIAL STATEMENTS

3 Analysis of Deposits

	Bank		Group	
As at	30th September 2024	31st December 2023 (Audited)	30th September 2024	31st December 2023 (Audited)
	Rs 000	Rs 000	Rs 000	Rs 000
Local Currency Deposits				
Demand deposits	60,193,619	59,048,988	60,054,449	59,008,095
Saving deposits	336,039,294	272,907,275	336,215,174	272,917,719
Call deposits	3,472	3,743	3,472	3,743
Fixed deposits	773,126,073	698,430,507	799,848,795	721,369,450
Certificates of deposits	5,616,249	5,391,335	5,616,249	5,391,335
Margin deposits	1,880,929	1,121,567	1,880,929	1,121,567
Total local currency deposits	1,176,859,636	1,036,903,415	1,203,619,068	1,059,811,909
Foreign Currency Deposits				
Demand deposits	7,483,775	9,130,948	7,483,775	9,130,948
Saving deposits	69,189,245	80,753,895	69,189,245	80,753,895
Fixed deposits	126,814,660	126,656,250	126,814,660	126,656,250
Margin deposits	146,111	198,039	146,111	198,039
Total foreign currency deposits	203,633,791	216,739,132	203,633,791	216,739,132
Total deposits	1,380,493,427	1,253,642,547	1,407,252,859	1,276,551,041

EXPLANATORY NOTES

1. There are no changes to the accounting policies and methods of computation since the publication of the annual accounts for the year 2023.
2. The Group Financial Statements comprise a consolidation of the Bank and its fully owned subsidiaries, Sampath Centre Ltd, SC Securities (Pvt) Ltd, Siyapatha Finance PLC and Sampath Information Technology Solutions Ltd.
3. There are no material changes during the period in the composition of assets, liabilities and contingent liabilities. All known expenditure items have been provided for.
4. These interim Financial Statements are presented in accordance with Sri Lanka Accounting Standard - LKAS 34 (Interim Financial Reporting) and provide the information as required in terms of Rule 7.4 of the Colombo Stock Exchange.

5. Market Price of a Share	2024 (Rs)	2023 (Rs)
Market Price as at 30th September	77.70	70.00
Highest Market Price during the quarter ended 30th September	80.00	79.20
Lowest Market Price during the quarter ended 30th September	67.10	59.90
Weighted Average Market Price during the quarter ended 30th September	74.85	71.28

Quoted shares and debentures of the Bank are only traded in Sri Lankan Rupees

6. Impairment of financial assets

Loans and advances

The Bank performed a detailed review of its Individually Significant Customers (ISL) and recognized appropriate provisions in its Financial Statements, taking into account the unique risk profiles associated with each of these customers. The Bank reversed management overlay provisions across most segments, reflecting improvements in credit quality among customers due to favorable macroeconomic conditions. However, the fundamental impairment models used for collective impairment in 2023 remained unchanged, ensuring adequate buffers to mitigate potential future credit risks.

Other financial assets

During the period, the Bank recorded a net impairment charge on other financial instruments, largely attributable to an additional provision recognised on Sri Lanka International Sovereign Bonds (SLISB). Despite the government's announcement regarding the updated terms for restructured SLISBs, which has not yet been finalized, the bank has continued to maintain the same loss rate, as it sufficiently covers all anticipated losses and contingencies.

7. Events after the reporting period

There are no material events that took place after the reporting date which require adjustment to or disclosure in the Financial Statements.

8. Utilisation of funds raised via capital markets

The funds raised via capital markets in the previous years were fully utilised for the objectives stated in the relevant prospectuses.

9. Reclassification of Debt Portfolio in 2022

In 2022, the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) issued a "Statement of Alternative Treatment (SoAT) on Reclassification of Debt portfolio" which provided a one-off option to the entities to reclassify their debt portfolios measured at Fair Value through Other Comprehensive Income (FVOCI) to Amortised Cost (AC). This SoAT was issued considering the unprecedented macro-economic conditions prevailed during the year 2022. Applying this SoAT, the Bank reclassified its FVOCI treasury bond portfolio with effect from 1st April 2022 to AC.

Amortised cost of the treasury bonds reclassified from FVOCI and outstanding as at 30th September 2024 amounted to Rs 1,278.9 Mn. Had these treasury bonds continued at FVOCI, the fair value and the cumulative mark to market loss as at 30th September 2024 would have been Rs 1,271.5 Mn and Rs 7.5 Mn respectively.

SAMPATH BANK PLC (ORDINARY SHARES)
TOP 20 SHAREHOLDERS AS AT 30TH SEPTEMBER 2024

Name of the Shareholder	No. of shares	% holding
1 Vallibel One PLC	175,352,762	14.95
2 Seylan Bank PLC/Phantom Investments (Pvt) Limited	117,270,076	10.00
3 Mr Y S H I Silva	116,958,065	9.97
4 Employees' Provident Fund	116,948,697	9.97
5 Ayenka Holdings Private Limited	94,098,834	8.02
6 Rosewood (Pvt) Limited	56,310,454	4.80
7 Akbar Brothers Pvt Ltd A/C No.1	35,731,447	3.05
8 Employees' Trust Fund Board	19,804,469	1.69
9 SSBT - AL Mehwar Commercial Investments L.L.C.	12,765,181	1.09
10 Mrs P D A S Beruwalage	12,012,417	1.02
11 Sampath Bank PLC Account No. 4 (Sampath Bank Pension Fund)	11,832,461	1.01
12 Mr W Jinadasa	11,811,609	1.01
13 BBH - Tundra Sustainable Frontier Fund	9,837,629	0.84
14 Citibank Newyork S/A Norges Bank Account 2	8,482,954	0.72
15 BBH - Tundra Shikari Global	7,800,000	0.67
16 Magna Wealth (Pvt) Ltd	6,875,630	0.59
17 Ceylinco Life Insurance Limited Account No.3 Shareholder's Fund	6,325,000	0.54
18 Auerbach Grayson and Company LLC	4,662,967	0.40
19 Mr L P Mendis	4,110,585	0.35
20 Mr K D H Perera	3,893,406	0.33
	832,884,643	71.02
Shares held by Directors	675,639	0.06
Balance held by other shareholders	339,140,478	28.92
Total	1,172,700,760	100.00

As at	30th September 2024
Number of public shareholders	30,340
Percentage of public holding	98.82%
Float adjusted market capitalization	Rs 90 Bn

The Bank complies with the minimum public holding requirement under option 1 of Listing Rules Section 7.13.1 (i) (a).

Directors' Holding in Shares of Sampath Bank PLC

Director's Name	No. of shares held	
	As at 30th September 2024	As at 31st December 2023
1 Mr Harsha Amarasekera	-	-
2 Mr Rushanka Silva	-	-
3 Mr D K de Silva Wijeyeratne	-	-
4 Ms A Nanayakkara	-	-
5 Mr Vajira Kulatilaka	-	-
6 Ms R K Jayawardena	-	-
7 Mr Vinod Hirdaramani	668,087	288,087
8 Mr Hiran Cabraal	-	-
9 Mr Roger Keith Modder (appointed w.e.f. 02nd April 2024)	6,941	Not applicable
10 Ms Ayodhya Iddawela Perera (Managing Director)	611	611
11 Mr D A de Vas Gunasekara (Chief Financial Officer)	-	-

Segment Information - Group

For the nine months ended 30th September	Corporate Banking		Retail & Personal Banking		Dealing/Investment		Others		(Eliminations)/Unallocated		Total	
	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Net interest income	11,938,351	26,679,515	32,676,885	45,467,806	28,997,914	15,624,041	-	-	(9,436,558)	(32,533,094)	64,176,592	55,238,268
Net fee & commission income	3,225,446	4,153,203	9,994,601	10,714,301	152,750	271,355	-	-	-	-	13,372,797	15,138,859
Net (loss)/gain from trading	-	-	-	-	(202,367)	1,649,095	-	-	-	-	(202,367)	1,649,095
Net gain on derecognition of financial assets	-	-	-	-	906,979	447,285	-	-	-	-	906,979	447,285
Net other operating income	109,295	122,525	2,392,296	1,203,385	350,429	2,451,510	108,036	197,444	(4,152,591)	(5,815,144)	(1,192,535)	(1,840,280)
Total revenue from external customers	15,273,092	30,955,243	45,063,782	57,385,492	30,205,705	20,443,286	108,036	197,444	(13,589,149)	(38,348,238)	77,061,466	70,633,227
Inter segment (expense)/income	(310,294)	(801,996)	332,295	858,716	-	-	742,279	613,378	(764,280)	(670,098)	-	-
Total operating income	14,962,798	30,153,247	45,396,077	58,244,208	30,205,705	20,443,286	850,315	810,822	(14,353,429)	(39,018,336)	77,061,466	70,633,227
Less: Impairment charge	3,926,840	5,869,610	247,425	6,978,110	1,145,914	1,664,399	(6,662)	(6,360)	8,815	(7,251)	5,322,332	14,498,508
Net operating income	11,035,958	24,283,637	45,148,652	51,266,098	29,059,791	18,778,887	856,977	817,182	(14,362,244)	(39,011,085)	71,739,134	56,134,719
Less: Total operating expenses	513,153	427,957	16,944,134	14,379,439	464,612	397,097	458,593	388,609	12,108,389	10,648,106	30,488,881	26,241,208
Segment result	10,522,805	23,855,680	28,204,518	36,886,659	28,595,179	18,381,790	398,384	428,573	(26,470,633)	(49,659,191)	41,250,253	29,893,511
Less: Taxes on financial services											9,329,267	7,049,657
Less: Income tax expense											12,830,726	10,113,717
Profit for the period											19,090,260	12,730,137
Non controlling interest											-	-
Profit attributable to equity holders of the Bank											19,090,260	12,730,137
As at 30th September	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Segment assets	392,563,916	362,189,438	516,462,362	478,795,499	762,622,934	552,983,140	9,414,923	9,067,251	(10,207,906)	(11,988,034)	1,670,856,229	1,391,047,294
Unallocated assets	-	-	-	-	-	-	-	-	68,396,629	140,769,153	68,396,629	140,769,153
Total assets	392,563,916	362,189,438	516,462,362	478,795,499	762,622,934	552,983,140	9,414,923	9,067,251	58,188,723	128,781,119	1,739,252,858	1,531,816,447
Segment liabilities	34,197,845	34,099,374	1,395,906,631	1,212,379,935	54,761,296	41,943,000	3,236,268	3,235,111	(6,269,972)	(7,909,883)	1,481,832,068	1,283,747,537
Unallocated liabilities	-	-	-	-	-	-	-	-	89,438,725	95,495,000	89,438,725	95,495,000
Total liabilities	34,197,845	34,099,374	1,395,906,631	1,212,379,935	54,761,296	41,943,000	3,236,268	3,235,111	83,168,753	87,585,117	1,571,270,793	1,379,242,537
For the nine months ended 30th September	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Cash flows from operating activities	(29,601,570)	56,334,201	144,505,579	189,991,005	654,145	(215,032)	380,221	605,160	(189,382)	11,268	115,748,993	246,726,602
Cash flows from investing activities	-	-	-	-	(148,140,451)	(162,791,586)	(546,609)	(545,560)	(3,279,313)	(3,168,323)	(151,966,373)	(166,505,469)
Cash flows from financing activities	-	-	2,140,682	(2,212,779)	-	-	7,178	90,240	(14,692,493)	(4,257,932)	(12,544,633)	(6,380,471)
Capital expenditure	-	-	(168,874)	(60,340)	-	-	(499,329)	(371,722)	(1,930,035)	(1,428,238)	(2,598,238)	(1,860,300)

ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

Bank - As at 30th September 2024

Financial Assets	Fair value through Profit or Loss	Amortised Cost	Fair Value through Other Comprehensive Income	Total
	Rs 000	Rs 000	Rs 000	Rs 000
Cash & cash equivalents	-	36,821,098	-	36,821,098
Balances with Central Bank of Sri Lanka	-	21,708,879	-	21,708,879
Placements with banks	-	22,237,485	-	22,237,485
Derivative financial instruments	817,112	-	-	817,112
Financial assets recognised through profit or loss - measured at fair value	3,895,171	-	-	3,895,171
Financial assets at amortised cost				
- loans & advances	-	811,391,844	-	811,391,844
- debt & other instruments	-	377,540,766	-	377,540,766
Financial assets - fair value through other comprehensive income	-	-	349,596,168	349,596,168
Other assets	-	18,458,831	-	18,458,831
Total Financial Assets	4,712,283	1,288,158,903	349,596,168	1,642,467,354

Financial Liabilities	Fair value through Profit or Loss	Amortised Cost	Total
	Rs 000	Rs 000	Rs 000
Due to banks	-	20,975,305	20,975,305
Derivative financial instruments	1,915,247	-	1,915,247
Securities sold under repurchase agreements	-	42,589,531	42,589,531
Financial liabilities at amortised cost			
- due to depositors	-	1,380,493,427	1,380,493,427
- due to other borrowers	-	6,735,856	6,735,856
- due to debt securities holders	-	18,052,138	18,052,138
Dividend payable	-	300,135	300,135
Other liabilities	-	30,001,554	30,001,554
Total Financial Liabilities	1,915,247	1,499,147,946	1,501,063,193

Bank - As at 31st December 2023 (Audited)

Financial Assets	Fair value through Profit or Loss	Amortised Cost	Fair Value through Other Comprehensive Income	Total
	Rs 000	Rs 000	Rs 000	Rs 000
Cash & cash equivalents	-	79,272,087	-	79,272,087
Balances with Central Bank of Sri Lanka	-	14,463,854	-	14,463,854
Placements with banks	-	33,741,322	-	33,741,322
Derivative financial instruments	587,577	-	-	587,577
Financial assets recognised through profit or loss - measured at fair value	4,744,188	-	-	4,744,188
Financial assets at amortised cost				
- loans & advances	-	756,435,559	-	756,435,559
- debt & other instruments	-	368,100,002	-	368,100,002
Financial assets - fair value through other comprehensive income	-	-	216,022,295	216,022,295
Other assets	-	27,778,625	-	27,778,625
Total Financial Assets	5,331,765	1,279,791,449	216,022,295	1,501,145,509

Financial Liabilities	Fair value through Profit or Loss	Amortised Cost	Total
	Rs 000	Rs 000	Rs 000
Due to banks	-	11,621,838	11,621,838
Derivative financial instruments	1,498,777	-	1,498,777
Securities sold under repurchase agreements	-	34,688,209	34,688,209
Financial liabilities at amortised cost			
- due to depositors	-	1,253,642,547	1,253,642,547
- due to other borrowers	-	6,637,129	6,637,129
- due to debt securities holders	-	26,709,893	26,709,893
Dividend payable	-	212,571	212,571
Other liabilities	-	32,953,593	32,953,593
Total Financial Liabilities	1,498,777	1,366,465,780	1,367,964,557

ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

Group - As at 30th September 2024

Financial Assets	Fair value through Profit or Loss	Amortised Cost	Fair Value through Other Comprehensive Income	Total
	Rs 000	Rs 000	Rs 000	Rs 000
Cash & cash equivalents	-	37,092,365	-	37,092,365
Balances with Central Bank of Sri Lanka	-	21,708,879	-	21,708,879
Placements with banks	-	22,237,485	-	22,237,485
Reverse repurchase agreements	-	3,272,007	-	3,272,007
Derivative financial instruments	817,112	-	-	817,112
Financial assets recognised through profit or loss - measured at fair value	3,971,275	-	-	3,971,275
Financial assets at amortised cost				
- loans & advances	-	850,508,797	-	850,508,797
- debt & other instruments	-	381,493,606	-	381,493,606
Financial assets - fair value through other comprehensive income	-	-	349,596,224	349,596,224
Other assets	-	19,822,350	-	19,822,350
Total Financial Assets	4,788,387	1,336,135,489	349,596,224	1,690,520,100

Financial Liabilities	Fair value through Profit or Loss	Amortised Cost	Total
	Rs 000	Rs 000	Rs 000
Due to banks	-	27,942,569	27,942,569
Derivative financial instruments	1,915,247	-	1,915,247
Securities sold under repurchase agreements	-	42,589,531	42,589,531
Financial liabilities at amortised cost			
- due to depositors	-	1,407,230,252	1,407,230,252
- due to other borrowers	-	6,735,856	6,735,856
- due to debt securities holders	-	23,733,439	23,733,439
Dividend payable	-	300,135	300,135
Other liabilities	-	30,571,755	30,571,755
Total Financial Liabilities	1,915,247	1,539,103,537	1,541,018,784

Group - As at 31st December 2023 (Audited)

Financial Assets	Fair value through Profit or Loss	Amortised Cost	Fair Value through Other Comprehensive Income	Total
	Rs 000	Rs 000	Rs 000	Rs 000
Cash & cash equivalents	-	79,530,247	-	79,530,247
Balances with Central Bank of Sri Lanka	-	14,463,854	-	14,463,854
Placements with banks	-	33,741,322	-	33,741,322
Reverse repurchase agreements	-	150,400	-	150,400
Derivative financial instruments	587,577	-	-	587,577
Financial assets recognised through profit or loss - measured at fair value	4,841,302	-	-	4,841,302
Financial assets at amortised cost				
- loans & advances	-	787,355,719	-	787,355,719
- debt & other instruments	-	373,899,842	-	373,899,842
Financial assets - fair value through other comprehensive income	-	-	216,022,351	216,022,351
Other assets	-	29,462,947	-	29,462,947
Total Financial Assets	5,428,879	1,318,604,331	216,022,351	1,540,055,561

Financial Liabilities	Fair value through Profit or Loss	Amortised Cost	Total
	Rs 000	Rs 000	Rs 000
Due to banks	-	17,344,766	17,344,766
Derivative financial instruments	1,498,777	-	1,498,777
Securities sold under repurchase agreements	-	34,438,086	34,438,086
Financial liabilities at amortised cost			
- due to depositors	-	1,276,551,041	1,276,551,041
- due to other borrowers	-	6,637,129	6,637,129
- due to debt securities holders	-	30,386,809	30,386,809
Dividend payable	-	212,571	212,571
Other liabilities	-	33,316,061	33,316,061
Total Financial Liabilities	1,498,777	1,398,886,463	1,400,385,240

FAIR VALUE OF FINANCIAL INSTRUMENTS

All financial assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, as described below.

(a) Level 1 – Quoted market price (unadjusted)

When available, the Bank measures the fair value of financial instruments using quoted market prices in an active market. Accordingly, quoted equity securities have been valued using quoted market prices as at the reporting date, while the fair values of treasury bills and bonds have been derived using the published yield curves.

(b) Level 2 – Valuation technique using observable inputs

If a market for a financial instrument is not active, then the Bank measures fair value of such instruments using quoted prices for similar assets and liabilities in active markets or quoted prices for identical/similar assets and liabilities in inactive markets or using models where all significant inputs are observable. The Bank has used the spot and forward premiums available as at the reporting date to estimate the fair value of derivative financial instruments. Fair values of financial assets and financial liabilities carried at amortised cost have been estimated by comparing the interest rates when they were first recognised with the current market rates of similar instruments.

(c) Level 3 – Valuation technique with significant unobservable inputs

Assets and liabilities valued using valuation techniques where one or more significant inputs are unobservable.

There are no material changes in the fair value of financial assets categorised under Level 3, compared to the values reported as at 31st December 2023. The Bank has not changed the valuation models and assumptions used to measure the fair values of Level 3 financial instruments during the period ended 30th September 2024.

Financial Assets & Liabilities Measured at Fair Value - Fair Value Hierarchy

Bank

Date of Valuation	As at 30th September 2024				As at 31st December 2023 (Audited)			
	Fair Value Measurement Using			Total	Fair Value Measurement Using			Total
	Quoted Prices	Significant	Significant		Quoted Prices	Significant	Significant	
	in Active Markets (Level 1) Rs 000	Observable Inputs (Level 2) Rs 000	Unobservable Inputs (Level 3) Rs 000		in Active Markets (Level 1) Rs 000	Observable Inputs (Level 2) Rs 000	Unobservable Inputs (Level 3) Rs 000	
Financial assets measured at fair value								
Derivative financial instruments	-	817,112	-	817,112	-	587,577	-	587,577
Financial assets - fair value through profit or loss	3,895,171	-	-	3,895,171	4,744,188	-	-	4,744,188
Financial assets - fair value through other comprehensive income	348,622,178	770,216	203,774	349,596,168	211,004,648	4,957,076	60,571	216,022,295
Total financial assets measured at fair value	352,517,349	1,587,328	203,774	354,308,451	215,748,836	5,544,653	60,571	221,354,060
Financial liabilities measured at fair value								
Derivative financial instruments	-	1,915,247	-	1,915,247	-	1,498,777	-	1,498,777
Total financial liabilities measured at fair value	-	1,915,247	-	1,915,247	-	1,498,777	-	1,498,777

Group

Date of Valuation	As at 30th September 2024				As at 31st December 2023 (Audited)			
	Fair Value Measurement Using			Total	Fair Value Measurement Using			Total
	Quoted Prices	Significant	Significant		Quoted Prices	Significant	Significant	
	in Active Markets (Level 1) Rs 000	Observable Inputs (Level 2) Rs 000	Unobservable Inputs (Level 3) Rs 000		in Active Markets (Level 1) Rs 000	Observable Inputs (Level 2) Rs 000	Unobservable Inputs (Level 3) Rs 000	
Financial assets measured at fair value								
Derivative financial instruments	-	817,112	-	817,112	-	587,577	-	587,577
Financial assets - fair value through profit or loss	3,971,275	-	-	3,971,275	4,841,302	-	-	4,841,302
Financial assets - fair value through other comprehensive income	348,622,178	770,216	203,830	349,596,224	211,004,648	4,957,076	60,627	216,022,351
Total financial assets measured at fair value	352,593,453	1,587,328	203,830	354,384,611	215,845,950	5,544,653	60,627	221,451,230
Financial liabilities measured at fair value								
Derivative financial instruments	-	1,915,247	-	1,915,247	-	1,498,777	-	1,498,777
Total financial liabilities measured at fair value	-	1,915,247	-	1,915,247	-	1,498,777	-	1,498,777

The regulatory floor price imposed on the shares of LankaBangla Finance PLC was lifted in January 2024. Since then, the shares are being actively traded in the Dhaka Stock Exchange. Accordingly, the investment in LankaBangla Finance PLC was transferred from Level 2 to Level 1 as at 30th September 2024.

FAIR VALUE OF FINANCIAL INSTRUMENTS (Contd...)

Fair Value of Financial Assets and Liabilities Carried at Amortised Cost

Bank

Date of Valuation	As at 30th September 2024					As at 31st December 2023 (Audited)				
	Fair Value				Carrying Value Rs 000	Fair Value				Carrying Value Rs 000
	Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000	Total Rs 000		Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000	Total Rs 000	
Financial Assets										
Financial assets at amortised cost										
loans & advances	-	811,905,343	-	811,905,343	811,391,844	-	756,414,366	-	756,414,366	756,435,559
debt & other instruments	332,708,351	45,775,709	-	378,484,060	377,540,766	316,477,987	48,582,784	-	365,060,771	368,100,002
	332,708,351	857,681,052	-	1,190,389,403	1,188,932,610	316,477,987	804,997,150	-	1,121,475,137	1,124,535,561
Financial Liabilities										
Financial liabilities at amortised cost										
due to banks	-	20,975,305	-	20,975,305	20,975,305	-	11,621,838	-	11,621,838	11,621,838
due to depositors - fixed & certificate of deposits	-	912,074,793	-	912,074,793	905,556,982	-	838,327,706	-	838,327,706	830,478,092
due to debt securities holders	-	21,580,317	-	21,580,317	18,052,138	-	29,764,020	-	29,764,020	26,709,893
	-	954,630,415	-	954,630,415	944,584,425	-	879,713,564	-	879,713,564	868,809,823

Group

Date of Valuation	As at 30th September 2024					As at 31st December 2023 (Audited)				
	Fair Value				Carrying Value Rs 000	Fair Value				Carrying Value Rs 000
	Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000	Total Rs 000		Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000	Total Rs 000	
Financial Assets										
Financial assets at amortised cost										
loans & advances	-	854,802,909	-	854,802,909	850,508,797	-	791,028,334	-	791,028,334	787,355,719
debt & other instruments	336,661,191	45,775,709	-	382,436,900	381,493,606	322,277,827	48,582,784	-	370,860,611	373,899,842
	336,661,191	900,578,618	-	1,237,239,809	1,232,002,403	322,277,827	839,611,118	-	1,161,888,945	1,161,255,561
Financial Liabilities										
Financial liabilities at amortised cost										
due to banks	-	28,086,384	-	28,086,384	27,942,569	-	17,337,165	-	17,337,165	17,344,766
due to depositors - fixed & certificate of deposits	-	939,741,180	-	939,741,180	932,279,704	-	861,671,761	-	861,671,761	853,417,035
due to debt securities holders	-	27,196,128	-	27,196,128	23,733,439	-	33,281,286	-	33,281,286	30,386,809
	-	995,023,692	-	995,023,692	983,955,712	-	912,290,212	-	912,290,212	901,148,610

Treasury bonds acquired in settlement of SLDBs under the Domestic Debt Optimisation Program (DDO) in 2023 have been classified under level 2 since there is no active market for them.

The following table lists those financial instruments for which their carrying amounts are a reasonable approximation of fair values because, for example, they are short term in nature or re-priced to current market rates frequently.

Assets	Liabilities
Cash & cash equivalents	Securities sold under repurchase agreements
Balances with Central Bank of Sri Lanka	Savings, demand, call & margin deposits
Placements with banks	Due to other borrowers
Reverse repurchase agreements	Dividend payable
Other financial assets	Other financial liabilities

DEBENTURE INFORMATION

(a) Market Values

Debentures - 2021/2028	Highest (Rs)		Lowest (Rs)		Quarter End (Rs)	
	2024	2023	2024	2023	2024	2023
Fixed - 9.00%	N/T	N/T	N/T	N/T	N/T	N/T

Debentures - 2023/2028	Highest (Rs)		Lowest (Rs)		Quarter End (Rs)	
	2024	2023	2024	2023	2024	2023
Fixed - 28.00%	135.00	142.00	135.00	141.00	135.00	142.00
Floating rate	N/T	N/T	N/T	N/T	N/T	N/T

N/T - Not Traded

(b) Interest Rates

Debentures - 2021/2028	2024		2023	
	Coupon rate	Effective rate	Coupon rate	Effective rate
Fixed - 9.00%	9.00%	9.00%	9.00%	9.00%

Debentures - 2023/2028	2024		2023	
	Coupon rate	Effective rate	Coupon rate	Effective rate
Fixed - 28.00%	28.00%	28.00%	28.00%	28.00%
Floating rate	Note 01			

Note 01

Debentures - 2023/2028

Floating rate is equivalent to the one year gross treasury bill rate plus 1.5%, subject to a floor of 20.0% & a cap of 31.0% p.a. payable annually.

(c) Interest Rates of Comparable Government Securities

	2024	2023
3 Month Treasury Bill	10.49%	17.42%
6 Month Treasury Bill	10.72%	15.13%
5 Year Treasury Bond	12.73%	13.72%
7 Year Treasury Bond	13.03%	13.07%

(d) Current Yield & Yield to Maturity

Debentures - 2021/2028	Fixed 9.00%	
	2024	2023
Current yield	N/T	N/T
Yield to maturity of last trade	N/T	N/T

Debentures - 2023/2028	Fixed 28.00%		Floating	
	2024	2023	2024	2023
Current yield	20.74%	19.72%	N/T	N/T
Yield to maturity of last trade	14.29%	14.29%	N/T	N/T

N/T - Not Traded

Note 02

Debentures - 2019/2024

The Bank has redeemed the debentures issued in 2019 amounting to Rs 7.0 Bn on 28th February 2024.

(e) Ratios - Bank

	30.09.2024	31.12.2023
Debt to Equity Ratio (%)	10.2	15.6
Interest Cover (Times)	15.6	9.7
Quick Asset Ratio (%) (as per CBSL Return)	83.7	71.7

SELECTED PERFORMANCE INDICATORS (AS PER REGULATORY REPORTING)

Item	As at 30th September 2024	As at 31st December 2023	As at 30th September 2024	As at 31st December 2023
	Bank		Group	
Regulatory Capital (Rs 000)				
Common Equity Tier 1 Capital	124,945,517	118,530,902	134,402,815	128,072,822
Tier 1 Capital	124,945,517	118,530,902	134,402,815	128,072,822
Total Capital	146,055,489	141,853,666	156,013,169	151,849,708
Regulatory Capital Ratios (%)				
Common Equity Tier 1 Capital Ratio (Minimum Requirement - 7.0%)	16.72	16.35	16.92	16.67
Tier 1 Capital Ratio (Minimum Requirement - 8.5%)	16.72	16.35	16.92	16.67
Total Capital Ratio (Minimum Requirement - 12.5%)	19.54	19.56	19.64	19.77
Leverage Ratio % (Minimum Requirement - 3%)	7.26	6.39	7.56	6.73

	As at 30th September 2024	As at 31st December 2023
	Bank	
Assets Quality (Quality of Loan Portfolio)		
Impaired Loans (Stage 3) Ratio %	5.27	5.87
Impairment (Stage 3) to Stage 3 Loans Ratio (%)	57.92	57.80
Profitability		
Interest Margin, %	5.01	5.16
Return on Assets (Before Tax), %	2.46	2.12
Return on Equity (After Tax), %	15.67	12.65
Regulatory Liquidity		
Statutory Liquid Assets (Rs 000)*	N/A	635,737,884
Statutory Liquid Assets Ratio (Minimum Requirement - 20%)*	N/A	47.76
Total Stock of High-Quality Liquid Assets (Rs 000)	700,958,564	566,567,931
Liquidity Coverage Ratio (%) - Rupee (Minimum Requirement - 100%)	399.48	453.16
Liquidity Coverage Ratio (%) - All Currency (Minimum Requirement - 100%)	303.25	312.47
Net Stable Funding Ratio (%) (Minimum Requirement - 100%)	198.60	184.20

N/A - Not Applicable

*Effective 15th June 2024, CBSL has discontinued the requirement to maintain the Statutory Liquid Assets Ratio.